Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Fast Retailing Co., Ltd. - 25, PUMA SE - 68
Country	Vietnam
Assessment Date	8/28/2025
Assessment Company	OneStep Viet Co., Limited - 200005

Workforce Summary

Number of Workers	2220
Percentage female	52 %
Primary Languages	Vietnamese

Wage Data information

Monthly minimum wage in country at time of assessment	The legal monthly minimum wage in Minimum Wage Region II, Vietnam in 2024 is 4,410,000 VND.
GLWC living wage benchmark for the country or relevant region at time of assessment	The GLWC living wage gross benchmark for Minimum Wage Region 2, Vietnam in 2024 is 8,217,792 VND.

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	1
Health, Safety And Environment (HSE)	7
Employment Relationship (ER)	5
Hours Of Work (HOW)	6
Harassment Or Abuse (HA)	1
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	1
Compensation (C)	5

Violations per Category	Violated Benchmarks
Immediate Action Required	21
Sustainable Improvement Required	5
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

24-Hour Findings Summary

24h Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	1
Health, Safety And Environment (HSE)	2
Employment Relationship (ER)	0
Hours Of Work (HOW)	1
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	1
Compensation (C)	3

Details 24h Findings

Benchmark	Child Labor (CL)
Benchmark ID	CL.8.1
Benchmark Details	Employers shall collect and maintain all documentation necessary to confirm and verify date of birth of all workers, such as birth certificates.
Finding Details	(24hr) RHPD_CL_Q03 - Does the factory maintain copies of official age documentation for all workers to avoid recruiting child labor? Answer: No, 24h Finding Explanation: As confirmed by factory management, it is noted that four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC Line departments. However, the factory does not maintain or archive any documentation pertaining to these individuals, including identification cards.

Benchmark	Compensation (C)
Benchmark ID	C.17
Benchmark Details	Employers shall ensure that all legally required payroll documents, journals and reports are available, complete, accurate and up-to date.

Finding Details	(24hr) COMP_RC_Q01 - Does the factory have a payroll and other legally required payment documents? Answer: No, 24h Finding Explanation: As confirmed by factory management, it is noted that four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC Line departments. However, the factory does not record or retain any documentation related to these individuals, including ID cards, time records, payroll information, contracts, etc. (24hr) COMP_RC_Q02 - Does payroll accurately reflect the actual working hours records and length of service? Answer: No, 24h Finding Explanation: The working hours and payroll record do not reflect actual practice; at least 3 workers arrived at the factory to support during the typhoon from 7:30 until the afternoon on July 22, 2025. However, according to the attendance record, workers took leave on that day. In practice, workers who arrived at the factory were paid in cash directly.

Benchmark	Compensation (C)
Benchmark ID	C.21.2
Benchmark Details	All benefits shall be calculated correctly
Finding Details	(24hr) COMP_PB_Q03 - Are all benefits calculated correctly? Answer: No, 24h Finding Explanation: One (1) worker sustained an occupational-related accident during working time. The worker left the factory at 12:00 on 19 July 2025 to go to the hospital and subsequently took medical leave. However, the factory does not investigate the accident nor apply the occupational accident benefit, which requires full salary paid by the employer. Instead, the factory: a) Deducts the worker's annual leave from 13:00 to 16:30 on 19 July 2025. b) Applies sick leave benefit, paid by the insurance agency, from 20 to 31 July 2025.

Benchmark	Compensation (C)
Benchmark ID	C.9.3
Benchmark Details	Employees shall be compensated for overtime hours at such premium rate as is legally required in the producing country

Finding Details	(24hr) COMP_SP_Q09 - Does the management always pay the correct, legally defined premium rates for overtime, including for piece rate workers? Answer: No, 24h Finding Explanation: The factory has compensated 5 security guards at only 100% of their regular wage for overtime working on a compensatory day off for a public holiday that overlapped with weekly rest days, instead of the 200% rate mandated by law.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.
Finding Details	(24hr) HSEB_FE_Q13 - Is all fire equipment inspected and maintained regularly? Answer: No, 24h Finding Explanation: 1/ The water is actively leaking from the fire hydrant at the connection between the hydrant body and the main shut-off valve. 2/ The factory has conducted fire pump station inspections twice a month instead of weekly as required by law.

Benchmark	Health, Safety And Environment (HSE)
Benchmark ID	HSE.6.2
Benchmark Details	A sufficient number of workers shall be trained in first aid and firefighting techniques. Training shall be upon hire and with periodic refresher training.
Finding Details	(24hr) HSEB_TRB_Q09 - Do workers with specific, additional firefighting, emergency and first aid responsibilities receive training so they can effectively execute their duties (e.g., brigade members)? Answer: No, 24h Finding Explanation: 1/ The factory does not provide the fire safety training for the head of the factory in accordance with the new fire safety regulations effective on 1 July 2025. Remark: All (26) members of the firefighting team were provided fire safety training in December 2025 2/ One out of two medical members is not provided with occupational health training. Remark: The factory signs a contract with a certified medical center as legally required

Benchmark	Hours Of Work (HOW)
Benchmark ID	HOW.22.3

Benchmark Details	Time worked by all workers, regardless of wage system, shall be fully documented by time cards or other mechanical or electronic recording systems.
Finding Details	(24hr) HOWA_RKH_Q01 - Does the factory have a system to record working hours? Answer: No, 24h Finding Explanation: 1/ The working hours and payroll record do not reflect actual practice; at least 3 workers arrived at the factory to support during the typhoon from 7:30 until the afternoon on July 22, 2025. However, according to the attendance record, workers took leave on that day. In practice, workers who arrived at the factory were paid in cash directly. 2/ As confirmed by factory management, it is noted that four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC Line departments. However, the factory does not record or retain any documentation related to these individuals, including ID cards, time records, payroll information, contracts, etc.

Benchmark	Nondiscrimination (ND)
Benchmark ID	ND.5
Benchmark Details	There shall be no differences in compensation for workers for work of equal value on the basis of gender, race, religion, age, disability, sexual orientation, nationality, political opinion, social group or ethnic origin.
Finding Details	(24hr) COMP_GC_Q10 - Is worker compensation the same for work of equal value regardless of gender, race, religion, age, disability, sexual orientation, nationality, political opinion, social group or ethnic origin? Answer: No, 24h Finding Explanation: The factory pays VND 4,053,000 per month to all temporary workers across all positions, even though they performed the same duties as permanent workers. For example, a temporary end-line QC worker who joined the factory on May 20, 2025, was paid at VND 4,053,000 per month, while a permanent end-line QC worker who joined on June 3, 2025, received VND 4,337,000 per month during the probation period.

Assessment Results

Compensation (C)

Benchmark ID	C.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning the payment of compensation to workers.
Finding Details	Two workers, who were under probation from July to August 2025 and then left the factory in August 2025 after passing probation, were not paid the additional amount equal to the compulsory social insurance, compulsory health insurance, and unemployment insurance premiums payable by the employer during the probationary period.
Recommendations for Immediate Action	Pay the affected employees an amount equal to the compulsory social insurance, health insurance, and unemployment insurance premiums payable by the employer during the probationary period, in accordance with legal requirements.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 168, Point 3; Decree No. 158/2025/ND-CP, Article 3, Point 5

Benchmark ID	C.17
Benchmark Details	Employers shall ensure that all legally required payroll documents, journals and reports are available, complete, accurate and up-to date.
Finding Details	(1) Four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC departments. However, the factory does not record or retain any documentation related to these individuals, including ID cards, time records, payroll information, contracts, etc. (2) The factory's working hours and payroll records do not reflect actual practice. At least 3 workers arrived at the factory to provide support during a typhoon from 7:30am until the afternoon on July 22, 2025. However, according to the attendance record, workers took leave on that day. In practice, workers who reported that day were paid in cash directly.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	C.19.1
Benchmark Details	Employers shall make every reasonable effort to ensure workers understand their compensation, including: the calculation of wages,?incentives systems, benefits, and bonuses they are entitled to at the workplace and under applicable laws.
Finding Details	There is no written policy/regulation on productivity bonuses for workers. The bonus ranges from VND 50,000 to VND 2,500,000
Recommendations for Immediate Action	Create a written regulation specifying the bonus criteria and communicate it to employees.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 104

Benchmark ID	C.21.2
Benchmark Details	All benefits shall be calculated correctly
Finding Details	One worker sustained an occupational-related accident during working time. This worker left the factory at 12:00 on 19 July 2025 to go to the hospital and subsequently took medical leave. However, the factory did not investigate the accident nor apply the occupational accident benefit, which requires full salary paid by the employer. Instead, the factory: a) Deducted the time from 13:00 to 16:30 on 19 July 2025 from the worker's annual leave. b) Applied the sick leave benefit (rather than the occupational accident benefit), paid by the insurance agency, for the days 20 to 31 July 2025.
Recommendations for Immediate Action	Pay the worker the full salary for the affected period (19 -31 July 2025), as required by law. Conduct investigations after all accidents to prevent reoccurence.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law No. 84/2015/QH13, Article 38

Benchmark ID	C.9.3
Benchmark Details	Employees shall be compensated for overtime hours at such premium rate as is legally required in the producing country
Finding Details	Five security guards at the factory performed overtime work on a compensatory day off for a public holiday that overlapped with weekly rest days. The factory compensated the guards at 100% of their regular wage for this time, instead of the 200% rate mandated by law.
Recommendations for Immediate Action	Calculate and pay overtime wages at the correct premium rate of at least 200% for overtime worked on compensatory days off, in accordance with the law.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 98 and Article 111, Point 3

Employment Relationship (ER)

Benchmark ID	ER.18.3.1
Benchmark Details	Workers must be informed when a disciplinary procedure has been initiated against them.
Finding Details	The factory's disciplinary procedure has not been fully implemented. Participants are not notified about about the disciplinary hearings/processes against them. Furthermore, rather than ensuring a full and compliant hearing, the factory only makes a violation record and informs the internal employee representative organization of which the employee is a member.
Recommendations for Immediate Action	Conduct disciplinary hearings strictly in accordance with legal procedures, including proper notification to all participants and ensuring a compliant hearing process.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 122; Decree No. 145/2020/ND-CP, Article 70

Benchmark ID	ER.6.1

Benchmark Details	Employers shall have written policies and procedures and implement practices that encourage ongoing training of all categories of workers with the goal of raising or broadening skills in order to advance in their careers within the factory or beyond.
Finding Details	The factory has not developed procedures for raising or broadening skills in order to advance the workers' careers
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 60

Benchmark ID	ER.3.1
Benchmark Details	Employers shall provide an orientation to new employees at the time of hiring, which includes explanations of the employers' rules, compensation package and policies for human resources, grievance systems, industrial relations, including respect of the right to freedom of association, workers' rights and responsibilities, FLA Code of Conduct, health and safety, and environmental protection.
Finding Details	Temporary workers and internship workers are not provided with orientation training on all labor & HSE policies, such as wage and benefit, working hours, forced labor, non-discrimination, harassment & abuse and grievance system, health & safety, etc
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.11.2

Benchmark Details	Employers must ensure the following minimum terms and conditions are met in the employment of contract/contingent/migrant/temporary workers: Contract/contingent/migrant/temporary workers shall be provided an employment agreement in their native language setting out the employment terms and conditions. for migrant workers, a copy of their employment contract in their native language shall be provided prior to departure from their country of origin;
Finding Details	As confirmed by factory management, it is noted that four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC Line departments. However, the factory does not record or retain any employment contracts for these workers.
Recommendations for Immediate Action	Provide and file employment contracts for all workers.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law No. 45/2019/QH14, Article 14

Benchmark ID	ER.1.2
Benchmark Details	Employers shall assign responsibility for the administration of human resources to a clearly defined and adequately qualified staff member or staff members and ensure workers at all levels receive communication and training about existing policies and procedures or any revisions.
Finding Details	Workers in the cutting section, finishing section, QC, canteen staff, security guards, and cleaners do not receive ongoing training on all labor & HSE policies, such as wage and benefit, working hours, forced labor, non-discrimination, harassment & abuse, grievance system, health & safety, etc. The factory provides annual refresher training only for workers in the sewing section only.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Harassment Or Abuse (H/A)

Benchmark ID	H/A.2
Benchmark Details	Employers shall not use monetary fines and penalties as a means to maintain labor discipline, including for poor performance, for broken or lost tools/machinery, or for violating company rules, regulations, and policies.
Finding Details	At least two workers have been subjected to monetary fines ranging from VND 50,000 to VND 500,000 as disciplinary measures for violating factory regulations (e.g., bringing needles from outside into the factory, or not attending trainings).
Recommendations for Immediate Action	Stop the use of monetary fines and penalties as disciplinary measures. Revise internal regulations to align with legal and FLA requirements
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Law No. 45/2019/QH14, Article 127

Health, Safety And Environment (HSE)

Benchmark ID	HSE.30.2
Benchmark Details	The health, safety, and environmental policies shall contain the framework for a comprehensive health, safety, and environmental management system within which the following are clear and regularly tested and reviewed; procedures for reporting death, injury, illness and other health and safety issues (for instance, near-miss accidents) and environmental emergencies
Finding Details	The factory has not conducted an investigation into a workplace accident on 19 July 2025. During sewing operations, a worker was pricked by a needle in the finger joint and was later hospitalized. The worker is currently experiencing an infection and has been on medical leave since the incident. (See finding C.21.2).
Recommendations for Immediate Action	Ensure that all occupational accidents are recorded, investigated, and analyzed for their causes to prevent reoccurance.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decree 39/2016/ND-CP, Article 13

Benchmark ID	HSE.9.1
Benchmark Details	All chemicals and hazardous substances shall be properly labeled and stored in secure and ventilated areas and disposed of in a safe and legal manner, in accordance with applicable laws and international standards.
Finding Details	A can of machine oil in the auditorium area does not have labels, MSDS, or secondary containment.
Recommendations for Immediate Action	Ensure that all chemicals have labels, MSDS, and secondary containments as required by law.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	QCVN 05A:2020/BCT, Article 5, Clause 5.15 and Article 7, Clause 7.2

Benchmark ID	HSE.17.1
Benchmark Details	Workstations, including seating and standing arrangements and reach required to obtain tools, shall be designed and set-up in such a manner as to minimize bodily strains.
Finding Details	Workers in the sewing area are provided with chairs, but these chairs lack backrests.
Recommendations for Immediate Action	Provide adjustable chairs, with backrests, for workers who sit at their stations.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HSE.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning health, safety, and the environment.

Finding Details	(1) The facility reported four workplace accidents in 2024 and three cases in 2025. These incidents generated medical waste such as used bandages, gauze, and medication packaging. However, no documentation is on file to demonstrate compliance with medical waste collection and handling requirements from 2024 to the present. Not: During the assessment, no medical waste was stored on-site. (2) The facility has not revised or fulfilled the following requirements to comply with the new fire safety regulations effective on 1 July 2025: (a) Fire and rescue dossiers of the establishment/company (Form No. PC01). (b) Firefighting and rescue plans (Form No. PC06) which are developed and approved by the head of the establishment/company to cover specific incident/accident scenarios such as drowning incidents, collapse of buildings, structures, or trees, landslides or rockslides, and traffic accidents. Note: The current firefighting and rescue plan was last approved by the fire police in August 2022. (3) The factory has not conducted asbestos identification and assessment as per applicable standards.
Recommendations for Immediate Action	(1) Coordinate with a licensed medical waste disposal unit to ensure proper collection and handling of medical waste. (2) Prepare and/or revise the required documents to comply with the new legal requirements (3) Take proper steps to ensure that workers are not exposed to asbestos.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	1/ Law No. 72/2020/QH14, Article 72 2/ Law No. 55/2024/QH15 (Law on Fire Prevention, Fighting and Rescue), Article 45; Decree No. 105/2025/ND-CP, Articles 4, 15, and 28

Benchmark ID	HSE.6.1
Benchmark Details	All safety and medical equipment (e.g. fire fighting equipment, first aid kits) shall be available in sufficient numbers throughout the workplace, maintained and stocked as prescribed, and easily accessible to workers.

Finding Details	(1) Four fire extinguishers are placed directly on the floor in the cutting area on the third floor. These extinguishers are not mounted on brackets or placed in designated holders as required by fire safety standards. (2) One manual fire alarm call point, located on the second floor, is obstructed by a door. The placement prevents clear visibility and immediate access in case of an emergency. (3) Water was seen actively leaking from the fire hydrant at the connection between the hydrant body and the main shut-off valve. (4) The factory conducts inspections of the fire pump station inspections twice a month, instead of weekly as required by law.
Recommendations for Immediate Action	(1) Install extinguishers on hangers or in brackets, or mounted in cabinets, unless the extinguishers are the wheeled type. (2) Relocate the manual fire alarm call point to a visible and unobstructed location. (3) Inspect and repair or replace the damaged connection between the hydrant body and the valve, (4) Establish a documented inspection calendar with weekly checks for the fire pump station.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	TCVN7435-1:2004, Article 5.5 & TCVN7568-14:2025, Article 5.4.9 & TCVN 7435 - 2:2004, Article 4 and QCVN02:2020/BCA, Article 4.1

Benchmark ID	HSE.19
Benchmark Details	All facilities including workplace buildings, toilets, canteens, kitchens, and clinics, shall be kept clean and safe and be in compliance with all applicable laws, including relevant sanitation, medical, and safety and health regulations.
Finding Details	(1) All 20 randomly-observed waste bins in the factory's restroom area do not have covers to ensure sanitation. (2) The factory's food samples are not stored for at least 72 hours as required by applicable food safety standards. Currently, samples are stored for 24 hours on regular working days and up to 48 hours on Saturdays.
Recommendations for Immediate Action	(1) Equip covers for waste bins to ensure sanitation. (2) Keep food samples for at least 72 hours
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HSE.6.2
Benchmark Details	A sufficient number of workers shall be trained in first aid and firefighting techniques. Training shall be upon hire and with periodic refresher training.
Finding Details	(1) The factory does not provide fire safety training to the head of the factory, as required by the new fire safety regulations effective 1 July 2025. Note: all 26 members of the firefighting team were provided fire safety training in December 2024. (2) One out of two medical staffers (nurses) at the factory has not received occupational health training. Note: the factory has a contract with a certified medical center, as legally required.
Recommendations for Immediate Action	(1) Ensure that the head of the facility shall be trained on fire safety annually. (2) Ensure medical staff are trained and obtain the occupational health certificate.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decree No. 105/2025/ND-CP, Article 28 – 29 & Law No. 84/2015/QH13, Article 73 and Decree No. 39/2016/ND-CP, Article 37, Point 3

Nondiscrimination (ND)

Benchmark ID	ND.5
Benchmark Details	There shall be no differences in compensation for workers for work of equal value on the basis of gender, race, religion, age, disability, sexual orientation, nationality, political opinion, social group or ethnic origin.
Finding Details	The factory pays VND 4,053,000 per month to all temporary workers across all positions, even though they perform the same duties as permanent workers. For example, a temporary end-line QC worker who joined the factory on May 20, 2025 was paid at VND 4,053,000 per month, while a permanent end-line QC worker who joined on June 3, 2025, received VND 4,337,000 per month during the probation period.
Recommendations for Immediate Action	Ensure that contract, casual, and temporary workers are paid at the same rate as permanent workers when performing the same duties
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Hours Of Work (HOW)	
Benchmark ID	HOW.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning hours of work, public holidays and leave.
Finding Details	(1) The assessment noted excessive daily overtime in June and July 2025. Each day in these months, approximately 5% - 41% of the total workforce worked up to 6 overtime hours. Workers performed excessive daily overtime up to 12 – 15 days per month. (2) The assessment noted excessive monthly overtime from August 2024 to July 2024. During these months, approximately 5% - 41% of the total workforce worked from 40.5 to 76 monthly overtime hours. (3) The assessment found excessive annual overtime. The legal limit is 300 OT hours per year, however... (a) Approximately 71% of the workforce exceeded 300 hours in Jan-Dec 2024, ranging from 301 to 760 OT. (b) Approximately 45% of the workforce exceeded 300 hours in Jan-Jul 2025, ranging from 301 to 500 OT hours in 2025.
Recommendations for Immediate Action	Control the production plan to ensure that overtime hours comply with legal requirements.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 107

Benchmark ID	HOW.21
Benchmark Details	Other than in exceptional circumstances, the total weekly work hours (regular work hours plus overtime including any alternative shifts such as 4x4 or 3x3) shall not exceed 60 hours per week.
Finding Details	The assessment found excessive weekly working hours from August 2024 - July 2024. Approximately 68% of workers exceeded weekly limits, working up to 72 hours (normal hours + overtime + rest day working) in a week.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HOW.22.1
Benchmark Details	Employers shall have in place policies for managing all working hour, overtime, and leave records in normal and exceptional circumstances.
Finding Details	The factory's regulations do not specify working hours and rest periods for young workers, nor do they include adequate short breaks for security guard staff and boiler operators.
Recommendations for Immediate Action	Revise the factory regulations to include working hours and rest periods for young workers, as well as adequate short breaks for security guards and boiler operators, in compliance with legal requirements.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 109

Benchmark ID	HOW.22.3
Benchmark Details	Time worked by all workers, regardless of wage system, shall be fully documented by time cards or other mechanical or electronic recording systems.
Finding Details	(1) The factory's working hours and payroll records do not reflect actual practice. At least 3 workers arrived at the factory to provide support during a typhoon from 7:30am until the afternoon on July 22, 2025. However, according to the attendance record, workers took leave on that day. In practice, workers who reported that day were paid in cash directly. (2) Four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC departments. However, the factory does not record or retain any documentation related to these individuals, including ID cards, time records, payroll information, contracts, etc.
Recommendations for Immediate Action	Monitor and keep time records, payroll information of all onsite workers.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	

Benchmark ID	HOW.3
Benchmark Details	Employers shall provide reasonable meal and rest breaks, which, at a minimum, must comply with national laws.
Finding Details	The assessment observed that approximately 70% of the total workforce does not take the designated short break (15:30 – 15:35) and continues working during this time.
Recommendations for Immediate Action	Remind workers of their legal entitlement to rest breaks and instruct supervisors to enforce the 15:30 - 15:35 break daily
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 109

Benchmark ID	HOW.2
Benchmark Details	Workers shall be entitled to at least 24 consecutive hours of rest in every seven- day period. If workers must work on a rest day, an alternative consecutive 24 hours must be provided within that same seven-day period or immediately following.
Finding Details	In the last 12 months (August 2024 – July 2025), approximately 15% of the total workforce worked seven days without a rest day, with periods of 8 - 13 days without any rest day. There were no compensatory days off for these workers.
Recommendations for Immediate Action	Ensure that all workers are provided with, and are able to take, all required rest breaks including one day off every seven-day period.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Labor Code (Law No. 45/2019/QH14), Article 109

Child Labour (CL)

Benchmark ID	CL.8.1
Benchmark Details	Employers shall collect and maintain all documentation necessary to confirm and verify date of birth of all workers, such as birth certificates.

Finding Details	As confirmed by factory management, four internship workers worked for approximately one week at the end of July and one week at the beginning of August 2024 in the Technical and QC Line departments. However, the factory does not maintain or archive any documentation pertaining to these individuals, including identification cards.
Recommendations for Immediate Action	Maintain or archive any documentation pertaining to these individuals, including identification cards.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	